Chapter 13: Motivating for Performance

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A. Motivating for Performance

- Motivation: Forces that energize, direct, and sustain a person's efforts
- There are five main behaviors managers need to motivate in their employees:
  + ***Joining*** the Organization: ***Attracting and hiring*** talented people.
  + ***Staying*** with the Organization: ***Retaining*** employees and ***reducing*** turnover.
  + ***Coming*** to Work Regularly: ***Ensuring*** consistent ***attendance and reliability.***
  + ***Performing***: Getting employees to work hard to achieve high output and quality.
  + ***Exhibiting*** Good Citizenship: ***Encouraging*** employees to go above and beyond their basic duties to help the company function smoothly.

=> Understanding and addressing these five areas can help managers effectively increase people's effort and overall performance.

B. Setting Goals

- Goal-setting theory is a powerful management tool that states that conscious goals **energize** and **direct** a person's behavior toward a particular end. Setting goals is considered the most important and effective single approach to motivating performance.
- Key **Principles of Effective Goal Setting:**
  + **Meaningful Goals**: The most motivating goals are those that are meaningful and connect to people's higher values. This can include a company's commitment to the environment, social causes, or even outperforming competitors.
  + **Acceptable Goals**: Goals should be acceptable to employees, meaning they don't conflict with personal values. Allowing employees to participate in setting goals can increase their acceptance and willingness to pursue them.
  + **Challenging but Attainable**: Goals should be challenging enough to inspire better performance but not so difficult that they become impossible to reach.
  + **Specific and Time-Bound**: Effective goals are not vague. They are specific regarding what needs to be achieved and within what time frame. This is a key part of the **SMART** goal framework:
    * ***Specific***
    * ***Measurable***
    * ***Achievable***
    * ***Results-based***
    * ***Time-Specific***

1. Stretch Goals: **Stretch goals** are exceptionally demanding targets that can lead to significant achievement. They can be **vertical** (e.g., increased productivity) or **horizontal** (e.g., professional development). It is crucial not to punish employees for failing to meet a stretch goal, but rather to assess their progress and effort.

2. Limitations and Potential Pitfalls

- While powerful, goal setting has limitations:
  + It can be ineffective if employees lack the necessary **ability or knowledge**. In such cases, a better approach might be to set learning goals.
  + Individual goals can harm **group performance** by creating competition instead of cooperation. When teamwork is essential, set group-centric goals.
  + Goals can lead to **unethical behavior or "game-playing"**, where employees manipulate outcomes to meet a target without genuinely improving overall performance.
  + Focusing on a single goal (e.g., productivity) can cause employees to **neglect other important areas** like learning, creativity, or teamwork.

=> Ultimately, goal setting is a powerful tool for both managers and individuals to stimulate motivation and improve performance.

C. Reinforcing Performance

- Edward Thorndike's **law of effect** states that behavior followed by positive consequences is likely to be repeated. This concept is the foundation of **organizational behavior modification (OB mod)**, which uses four key consequences—positive reinforcement, negative reinforcement, punishment, and extinction—to influence employee behavior and improve performance.
- Four Key Consequences:
  + ***Positive Reinforcement***: This involves applying a positive consequence to increase the likelihood of a desired behavior being repeated. Examples include praise, a pay raise, or a positive performance review.
  + ***Negative Reinforcemen***t: This is the removal of an undesirable consequence to encourage a behavior. A manager might take an employee off probation because their performance has improved.
  + ***Punishment***: This is the act of administering an aversive consequence to discourage a behavior. Examples include a verbal reprimand, assigning an undesirable task, or sending an employee home without pay. Unlike negative reinforcement, which removes a threat, punishment is the actual delivery of a negative consequence.
  + ***Extinction***: This involves the withdrawal of a reinforcing consequence, which reduces motivation and eliminates the behavior. For instance, a manager might stop acknowledging an employee's long-winded comments in meetings to discourage them. This can also happen unintentionally, such as when a manager fails to compliment an employee for a job well done.

1. Managing Reinforcement Effectively: Managers must ensure they are reinforcing the right behaviors. The text highlights that organizations sometimes **unintentionally reinforce the wrong behaviors**, such as promoting a culture of multitasking, which can lead to inefficiency and mistakes. The key is to match consequences to what employees truly find desirable or undesirable.

2. The Greatest Management Principle: Michael LeBoeuf's "The Greatest Management Principle in the World" asserts that **"the things that get rewarded get done."** He outlines ten key behaviors that managers should reward to drive success, including:

- Solid solutions over quick fixes.
- Risk-taking over risk-avoiding.
- Applied creativity over mindless conformity.
- Smart work over busywork.
- Quality work over fast work.

3. Handling Mistakes and Providing Feedback:

- How a manager handles mistakes is crucial for employee motivation. While punishment is appropriate for serious offenses, overusing it can create a **climate of fear**. Managers should instead handle mistakes constructively by discussing and learning from them. They should encourage people to try new things and not punish good-faith efforts that don't succeed.

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D. Performance-Related Beliefs

Expectancy theory proposes that a person's motivation is based on their perceived likelihood that their effort will lead to a desired outcome. It focuses on three key components that must all be high for motivation to be strong:

1. Expectancy (Effort-to-Performance Link)

Expectancy is the belief that one's effort will lead to a desired performance level. If an employee feels that no matter how hard they work, they won't be able to achieve a certain performance goal, their motivation will be low. Managers can increase expectancy by providing a supportive work environment, offering training and resources, and setting realistic goals.

2. Instrumentality (Performance-to-Outcome Link)

Instrumentality is the belief that good performance will be followed by a particular outcome. An employee who performs well but believes they won't be rewarded will have low motivation. To boost instrumentality, managers should ensure that good performance is consistently and visibly tied to positive outcomes like raises, promotions, and recognition.

2. Valence (Value of Outcome)

Valence is the value a person places on an outcome. For motivation to be high, the outcomes must be personally desirable. If an employee doesn't value a potential reward, even a high expectancy and instrumentality won't motivate them. Managers should identify what their employees truly want and provide a variety of rewards, both monetary and non-monetary, to appeal to different individuals.

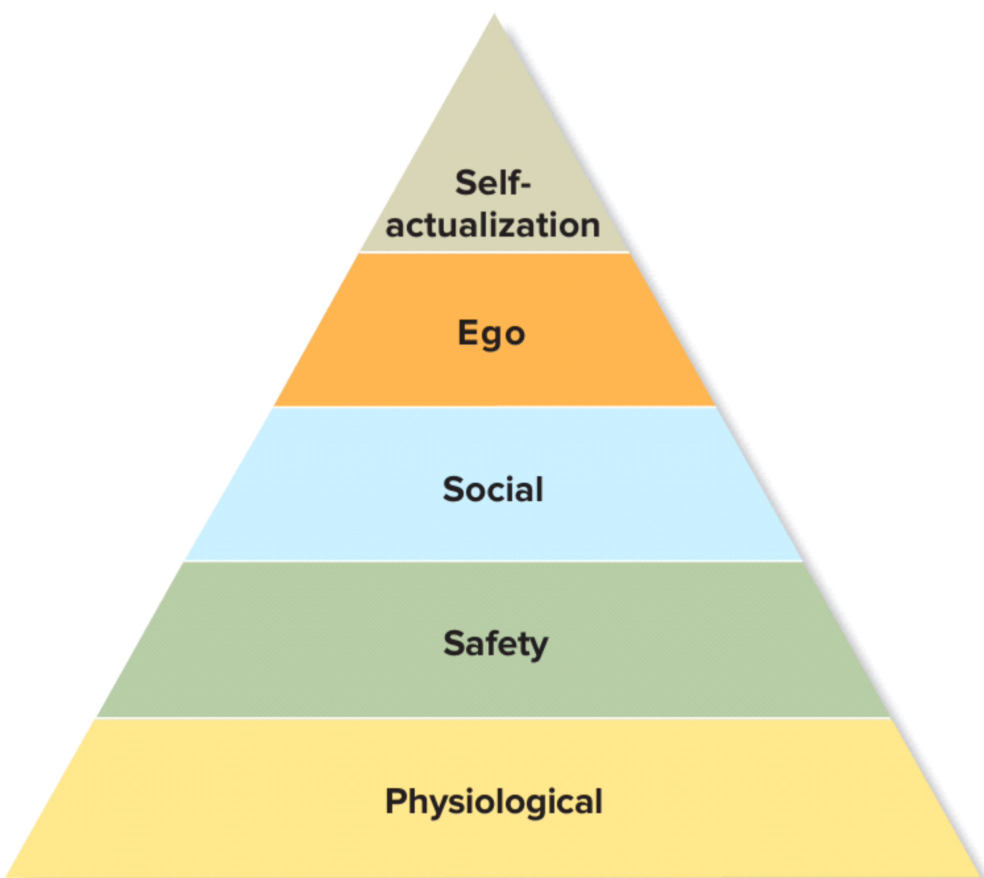
E. Designing Motivating Jobs

Several needs-based theories explain what motivates people. These theories suggest that motivation is driven by an individual's desire to satisfy certain needs. The three main theories are Maslow's Need Hierarchy, Alderfer's ERG Theory, and McClelland's Needs.

1. Maslow's Need Hierarchy: Abraham Maslow proposed a hierarchy of five needs, from lowest to highest

- **Physiological Needs:** Basic survival needs like food, water, and shelter.
- **Safety Needs:** The need for protection and security.
- **Social Needs:** The need for friendship, belonging, and affection.
- **Ego Needs:** The need for independence, recognition, and self-esteem.
- **Self-Actualization Needs:** The need to realize one's full potential.

=> According to Maslow, people are motivated to satisfy lower-level needs before moving on to higher-level ones. In the workplace, managers should focus on meeting higher-level needs like ego and self-actualization by providing opportunities for personal growth, challenging assignments, and autonomy.



2. Alderfer's ERG Theory: Clayton Alderfer simplified Maslow's hierarchy into three categories:

- **Existence Needs:** All material and physiological desires (similar to Maslow's physiological and safety needs).
- **Relatedness Needs:** The need for relationships with others (similar to Maslow's social and ego needs).
- **Growth Needs:** The need for personal development and creative work (similar to Maslow's self-actualization needs).

=. Unlike Maslow's strict hierarchy, ERG theory suggests that these needs can be active and motivate a person at the same time. It also proposes that if a person is unable to satisfy a higher-level need, they may become more focused on satisfying a lower-level one.

3. McClelland's Needs: David McClelland identified three needs that are particularly relevant to managers:
- **Need for Achievement:** A strong drive to succeed and accomplish goals.
- **Need for Affiliation:** A desire to form strong social bonds and be liked by others.
- **Need for Power:** A desire to influence or control other people. This can be a negative, "personalized" power, or a positive, "socialized" power used to benefit the organization.

=> McClelland's research suggests that successful managers often have a high need for power (especially socialized power) and a low need for affiliation, as this allows them to make tough decisions without worrying about being liked. The importance of these needs can vary significantly across different cultures.

F. Designing Motivating Jobs

Jobs can provide both extrinsic and intrinsic rewards. **Extrinsic rewards** are given to an employee by others (like a salary or bonus), while **intrinsic rewards** are derived directly from the work itself, such as a sense of accomplishment or purpose. Intrinsic rewards are essential for fostering creativity and high motivation.

1. Designing Motivating Jobs: To make jobs more intrinsically rewarding, managers can use three primary approaches:
+ **Job Rotation:** Moving workers from one task to another to alleviate boredom.
+ **Job Enlargement:** Giving a worker more tasks to perform at the same level of responsibility.
+ **Job Enrichment:** Creating more profound changes by adding higher-level responsibilities and decision-making power. This approach is based on models like Herzberg's two-factor theory and the Hackman and Oldham model.

2. Key Theories in Job Design

- ***Herzberg's Two-Factor Theory:*** *This theory distinguishes between* ***hygiene factors*** *(extrinsic rewards like pay and working conditions) and* ***motivators*** *(intrinsic rewards like achievement and recognition). Herzberg argued that hygiene factors can prevent dissatisfaction, but only motivators can truly create job satisfaction and motivation.*
- **The Hackman and Oldham Model:** This model identifies five **core job dimensions** that lead to three critical psychological states, resulting in high motivation and performance. The five dimensions are:
  + **Skill Variety:** The use of different skills and talents.
  + **Task Identity:** The completion of a whole, identifiable piece of work.
  + **Task Significance:** The job's positive impact on the lives of others.
  + **Autonomy:** The independence to make decisions.
  + **Feedback:** Clear information about performance.

3. Empowerment

Empowerment is the process of sharing power with employees, giving them a sense of control and influence. When done correctly, empowerment enhances an employee's confidence, sense of meaning, and competence. It leads to higher levels of engagement, initiative, and overall performance. Done incorrectly, it can feel like a mixed message, where employees are given responsibility without the authority or resources to succeed. While it may lead to initial mistakes or demands for higher wages, true empowerment ultimately benefits both the employee and the company.

F. Designing Motivating Jobs

Equity theory states that people are motivated to maintain a sense of fairness in their relationships with their employers. It focuses on the comparison between a person's **inputs** (contributions like effort, time, and skills) and their **outcomes** (what they receive, such as pay, recognition, and benefits).

1. Assessing and Restoring Equity

- People don't just assess their own inputs and outcomes; they compare their personal outcomes-to-inputs ratio to the ratio of a comparison person (e.g., a coworker or a peer in the same industry).
  + Equity: When a person perceives that their ratio is equal to that of the comparison person, they feel fairly treated and are motivated to maintain their current behavior.
  + Inequity: When a person perceives their ratio as unequal, it creates dissatisfaction and a desire to restore balance.
    * Feeling under-rewarded (your ratio is lower) can lead to actions like reducing your effort, asking for a raise, or changing your perception of the situation.
    * Feeling over-rewarded (your ratio is higher) can lead to actions like increasing your effort or helping the comparison person get better outcomes.

=> Assessments of equity are subjective and based on individual perceptions, not objective facts.

2. Procedural Justice

- Even if a person feels their outcome was unfair, they are more likely to accept it if the process used to make the decision was **procedurally fair**. Procedural justice involves using a transparent and consistent process to make decisions. Managers can increase perceptions of fairness by:
  + Making the decision-making process open and visible.
  + Stating criteria in advance.
  + Allowing employees to participate in the process.
  + Providing a way to appeal decisions.
- When employees perceive procedural justice, they are more likely to support management decisions and remain committed to the organization, even when the outcomes are not in their favor.

G. Employee Satisfaction and Well-Being

Satisfied workers are not always more productive than dissatisfied ones, but dissatisfaction can lead to costly negative outcomes for an organization, such as high turnover, absenteeism, and low productivity. This has led to the development of programs aimed at improving the **Quality of Work Life (QWL)**.

1. Quality of Work Life (QWL)

- Quality of Work Life (QWL) programs are designed to create a workplace that enhances an employee's job satisfaction and overall well-being. These programs often address a wide range of needs, including:
  + Fair compensation
  + A safe and healthy environment
  + Opportunities for personal growth and security
  + A social environment that fosters a sense of community
  + Respect for personal privacy and rights
  + A work-life balance that minimizes infringement on personal and family time
  + Socially responsible organizational actions

=> While critics argue that QWL doesn't directly boost productivity unless tied to performance, advocates claim it improves overall organizational effectiveness by reducing turnover, absenteeism, and accidents, while boosting creativity and innovation.

2. The Psychological Contract

- The psychological contract is the unwritten set of perceptions that employees and employers have about what they owe each other. Historically, this contract involved employees providing loyalty in exchange for job security. However, with modern business changes, this contract has shifted.
- A new, more beneficial psychological contract focuses on a mutual alliance:
  + Employer's Role: Provide continuous skill development and an invigorating work environment.
  + Employee's Role: Use their skills to make the company more valuable.
- This type of contract creates a win-win situation where employees grow professionally and become more marketable, while the company benefits from a highly motivated and skilled workforce. It moves the relationship from a transactional one to a mutually beneficial partnership.